



Export Guarantees Act 1975

1975 CHAPTER 38

An Act to consolidate the Export Guarantees Acts 1968
to 1975. [3rd July 1975]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) For the purpose of encouraging trade with other Export countries, the Secretary of State may, after consultation with the Export Guarantees Advisory Council and with the consent of the Treasury, make arrangements for giving such guarantees to, or for the benefit of, persons carrying on business in the United Kingdom as are mentioned in subsection (2) below.

(2) The guarantees for which arrangements may be made under subsection (1) above are guarantees in connection with the export, manufacture, treatment or distribution of goods, the rendering of services, or any other matter which appears to the Secretary of State conducive to the purpose of encouraging trade with other countries.

(3) A guarantee given under this section may be given on such terms and conditions as to the consideration for the giving of the guarantee and otherwise as may be determined in accordance with the arrangements made for giving that guarantee.

Guarantees
and other
arrangements
in national
interest.

2.—(1) For the purpose of encouraging trade with other countries or for the purpose of rendering economic assistance to countries outside the United Kingdom, the Secretary of State may, with the consent of the Treasury, make arrangements for giving such guarantees to, or for the benefit of, persons carrying on business in the United Kingdom as appear to him to be expedient in the national interest; and subsection (3) of section 1 above shall have effect in relation to a guarantee given under this subsection as it has effect in relation to a guarantee given under that section.

(2) For either of the purposes mentioned in subsection (1) above, the Secretary of State may, with the consent of the Treasury, make arrangements for facilitating, in cases in which it appears to him expedient in the national interest so to do, the payment of sums payable under contracts with persons carrying on business in the United Kingdom.

Loans and
interest
grants.

3.—(1) The Secretary of State may, with the consent of the Treasury, make—

- (a) loans to any persons in connection with their provision of financial facilities in respect of export contracts;
- (b) grants to any persons for the purpose of supplementing any interest receivable or received by them as consideration for their provision of such facilities as aforesaid;

but no loans shall be made under this subsection to persons who are neither resident nor carrying on business in the United Kingdom.

(2) The Secretary of State may, with the consent of the Treasury, make grants to any persons carrying on business or other activities outside the United Kingdom in respect of interest paid or payable by them under export contracts.

(3) Any loan or grant under this section shall be made on such terms and conditions as the Secretary of State may determine.

(4) This section is without prejudice to the powers conferred by section 2(2) above.

Securities.

4.—(1) The Secretary of State may, with the consent of the Treasury, acquire any securities which he has guaranteed in the exercise of his powers under this Act.

(2) Subsection (1) above is without prejudice to the acquisition of any security by the Secretary of State as part of any arrangements made under section 2(2) above or in pursuance of the terms and conditions of any loan made under section 3(1) above.

(3) The Secretary of State may with the consent of the Treasury—

(a) hold any security acquired by him in pursuance of subsection (1) above or as mentioned in subsection (2) above for such period as he thinks fit and collect any sums falling due, whether by way of principal or interest, in respect thereof ;

(b) dispose of any such security at such time and in such manner as he thinks fit.

(4) In this section “ securities ” includes bonds, stock, shares, bills and promissory notes.

5.—(1) For the purpose of encouraging trade with other countries, the Secretary of State may, with the consent of the Treasury, make arrangements for making payments to persons carrying on business in the United Kingdom who have entered into export contracts, being payments related to such increases in the cost of labour, materials or other matters as may be specified by or under the arrangements. Payments to exporters in respect of cost increases.

(2) Arrangements under this section may contain such terms and conditions as the Secretary of State thinks fit, including provisions requiring payments to be made to the Secretary of State as consideration for his entering into the arrangements.

(3) Subject to subsection (4) below, no arrangements shall be made under this section after 26th March 1977.

(4) The Secretary of State may by order extend the period during which arrangements may be made under this section by not more than one year at a time.

(5) Any order under subsection (4) above shall be contained in a statutory instrument, and no such order shall be made unless a draft of it has been laid before and approved by resolution of the House of Commons.

6.—(1) Subject to subsection (2) below, the aggregate of—

Limit on commitments.

(a) the liabilities at any time of the Secretary of State in respect of guarantees given under this Act ;

(b) the amount of the principal moneys for the time being due to the Secretary of State under any arrangements made under section 2(2) above or outstanding in respect of loans made under section 3(1) above ;

(c) the sums paid for securities acquired under section 4(1) above and for the time being held by the Secretary of State ; and

(d) the liabilities at any time of the Secretary of State in respect of arrangements made under section 5 above, shall not exceed £12,200 million.

(2) The Secretary of State may, on not more than three occasions, by order made with the consent of the Treasury increase or further increase the limit applicable under subsection (1) above by a sum specified in the order, being a sum not exceeding £3,000 million.

(3) Any order under subsection (2) above shall be contained in a statutory instrument, and no such order shall be made unless a draft of it has been laid before and approved by resolution of the House of Commons.

Returns.

7. The Secretary of State shall publish quarterly—

- (a) a return showing the aggregate amount of the guarantees given under section 1 above since the date of the last previous return under this paragraph ;
- (b) a return showing the aggregate amount of the guarantees given under section 2(1) above since the date of the last previous return under this paragraph ;
- (c) a return showing the aggregate amount of the principal moneys for the time being due to the Secretary of State under any arrangements made under section 2(2) above ;
- (d) a return showing the aggregate amount of the principal moneys for the time being outstanding in respect of loans made under section 3(1) above.

Controlled companies.

8. Where a company is directly or indirectly controlled by any person (whether a company or not), then—

- (a) for the purposes of the provisions of this Act relating to guarantees—

- (i) any contract entered into by the Secretary of State with that person shall, in so far as it provides for the Secretary of State to make payments to that person in respect of any loss of that company or in respect of any deficit on an account relating both to activities of that company and to activities of that person, be deemed a contract to indemnify that person against loss and a guarantee within the meaning of this Act ;

- (ii) any guarantee given by the Secretary of State to or for the benefit of that company shall be deemed to be given for the benefit also of that person ; and

- (b) for the purposes of section 2(2) above, any arrangements made by the Secretary of State for facilitating the payment of sums payable under a contract with that company shall be deemed to be arrangements for facilitating the payment of sums payable under a contract with that person.

9.—(1) All the powers and duties of the Secretary of State under this Act, except the power to make orders under sections 5(4) and 6(2), shall be exercised and performed through the Export Credits Guarantee Department and the Export Guarantees Advisory Council.

(2) The Export Guarantees Advisory Council (that is to say, the Council constituted for the purposes of the Export Guarantees Act 1939 and continued for the purposes of the enactments repealed by this Act) shall be further continued by the Secretary of State for the purposes of this Act.

10.—(1) Subject to subsection (2) below—

Expenses
and receipts.

(a) all expenses incurred by the Secretary of State under this Act shall be defrayed out of moneys provided by Parliament ;

(b) all sums received by the Secretary of State by virtue of this Act shall be paid into the Consolidated Fund.

(2) If any amount required for fulfilling any guarantee given under this Act is not paid out of moneys provided by Parliament it shall be charged on and issued out of the Consolidated Fund.

11.—(1) In this Act—

Interpretation.

“ business ” includes a profession ;

“ export contracts ” means contracts in respect of which guarantees have been or can be given under section 1 or 2(1) above ;

“ guarantee ” includes any contract to indemnify, whether wholly or in part, against loss of any description and shall be construed in accordance with section 8(a)(i) above ;

“ trade with other countries ” includes any transaction involving a consideration in money or money's worth accruing from a person carrying on business or other activities outside the United Kingdom to a person carrying on business in the United Kingdom.

(2) Except in section 3(1), any reference in this Act to the United Kingdom includes a reference to the Isle of Man and the Channel Islands.

(3) In section 3 above references to the provision of financial facilities include references to the provision of such facilities before the date of the passing of this Act; and grants may be made under that section in respect of interest for periods before that date.

(4) Arrangements may be made under section 5 above in relation to contracts entered into on or after 20th February 1975 and increases that have occurred before the passing of this Act.

(5) Except where the context otherwise requires, any reference in this Act to any provision of this Act shall be construed as including a reference to any corresponding enactment previously in force; and references to anything done by the Secretary of State shall accordingly be construed as including references to anything done under a corresponding enactment by the Board of Trade.

Short title,
repeals and
commence-
ment.

1968 c. 26.
1970 c. 15.
1975 c. 19.

12.—(1) This Act may be cited as the Export Guarantees Act 1975.

(2) The Export Guarantees Act 1968, the Export Guarantees and Payments Act 1970 and the Export Guarantees Amendment Act 1975 are hereby repealed.

(3) This Act shall come into force at the expiration of the period of one month beginning with the day on which it is passed.